Journal Entries & Reversing

FEATURE GUIDE · ACCOUNTING

This guide covers the **Journal Entries** module — Chart of Accounts → Journal Entries in the sidebar. It uses one small, continuing example: **Harbor & Vine Catering**, owned by Maya Chen. If you've read the Invoicing or Billing guides, this is the same business.

> **What is a journal entry?**
>
> Most transactions in BloomAudit — invoices, bills, payments — post to the ledger automatically. A **manual journal entry** is for the transactions that don't fit a standard form: prepaying for something that should be spread over several months, correcting a mistake, or recording an accrual (an estimate of a cost you know is coming but haven't been billed for yet).
>
> Every journal entry must **balance** — total debits must equal total credits. BloomAudit enforces this before it will let you save.

Statuses

Status	Meaning
Draft	Saved but not posted. Editable and deletable. Has no effect on any account balance yet.
Posted	Locked into the General Ledger. Account balances have changed. Cannot be edited or deleted — only reversed.
Reversed	A posted entry that has since been reversed. The original stays in the record for audit purposes; a new mirrored entry cancels its effect.

Part 1 — Recording a prepayment

Maya just paid $1,200 for a full year of business insurance, upfront. The cost belongs to the whole year, not just this month, so instead of expensing it all at once she records it as an asset — **Prepaid Insurance** — and will release 1/12th of it to expense each month.

1. Click **Journal Entries** in the sidebar.
2. Click **New journal entry**.
3. Date: today. Description: `Prepaid business insurance — 12 months`.
4. Add two lines:
   - **Debit** — `1400 · Prepaid Insurance` — `$1,200.00`
   - **Credit** — `1000 · Bank / Cash` — `$1,200.00`
5. Click **Save**.

> The entry is saved with status **Draft**. Nothing has posted to the ledger yet — you can still change it.

Edit the draft

1. Open the entry. Click the **Edit** (pencil) icon — only available while the entry is a draft.
2. Change the description to `Prepaid business insurance — Jan–Dec, policy #HV-4471`.
3. **Save**.

Post it

1. Open the entry. Click **Post** (checkmark icon), or **Post to GL** from the detail drawer.

> 💡 **What just happened?**
>
> **Accounts that moved:**
>
> | Account | Direction | Amount | Why |
> |---|---|---|---|
> | Prepaid Insurance (1400) | ↑ UP | $1,200.00 | Maya paid for a year of coverage she hasn't used yet — that's a future benefit, so it's an asset |
> | Bank / Cash (1000) | ↓ DOWN | $1,200.00 | Cash left the business bank account |
>
> **Posted entry:**
>
> | | Account | Amount |
> |---|---|---|
> | DR | Prepaid Insurance (1400) | $1,200.00 |
> | CR | Bank / Cash (1000) | $1,200.00 |
>
> **Updated automatically:**
>
> - COA — balance on 1400 increased by $1,200.00
> - COA — balance on 1000 decreased by $1,200.00
> - GL — new entry under both accounts
> - Status changed to **Posted** — the row can no longer be edited or deleted, only reversed

Each month going forward

A second, independent journal entry releases one month of the prepayment to expense:

1. **New journal entry** → Description: `Insurance expense — January (1/12 of prepaid policy)`.
2. Lines: **Debit** `6400 · Insurance Expense` `$100.00` / **Credit** `1400 · Prepaid Insurance` `$100.00`.
3. **Save**, then **Post**.

> This moves $100 out of the "future" bucket (Prepaid Insurance) into "this month's" bucket (Insurance Expense) — repeated once per month for 12 months until Prepaid Insurance is back to zero.

Part 2 — Reversing an entry

At month-end, Maya's bookkeeper doesn't yet have the actual electricity bill, so she posts an **estimated accrual** so the expense still lands in the right month.

1. **New journal entry** → Description: `Accrued electricity estimate — month-end, actual bill not yet received`.
2. Lines: **Debit** `6300 · Utilities Expense` `$180.00` / **Credit** `2100 · Accrued Utilities` `$180.00`.
3. **Save**, then **Post**.

The next week, the real bill arrives from the utility company for a different amount ($204.00). Because the estimate is now wrong, it must be undone before the real bill is entered as a Bill (see the Billing guide) — you cannot edit a posted entry, so it has to be reversed instead.

1. Open the accrual entry (status **Posted**). Click **Reverse** (the circular-arrow icon), or **Reverse entry** from the detail drawer.
2. Confirm the dialog: *"This will create a reversal entry and post it immediately."*

> 💡 **What just happened?**
>
> **In plain English:** BloomAudit created a brand-new entry that is the exact mirror image of the original — every debit becomes a credit and every credit becomes a debit, for the same amount. The two entries net to zero, so it's as if the accrual never happened, but both stay visible for the audit trail.
>
> **The reversal entry BloomAudit posted (new row, dated today):**
>
> | | Account | Amount |
> |---|---|---|
> | DR | Accrued Utilities (2100) | $180.00 |
> | CR | Utilities Expense (6300) | $180.00 |
>
> **Updated automatically:**
>
> - The original accrual entry's status changes to **Reversed**
> - A new **Posted** entry appears, dated today, referencing the reversal
> - COA — 2100 (Accrued Utilities) returns to $0 · COA — 6300 (Utilities Expense) returns to its pre-accrual balance
> - GL — both the original and the reversal remain visible under each account; net effect is zero

Maya can now enter the real $204.00 electricity bill through the Bills module with the correct amount, cleanly, with no leftover estimate sitting in the books.

Deleting a draft

Only drafts can be deleted — posted entries can only be reversed, never removed, so the audit trail is never broken.

1. **New journal entry** → Description `Test entry — delete me`. Lines: DR `1000 · Bank / Cash` `$1.00` / CR `4100 · Catering Revenue` `$1.00`. **Save**.
2. Open it. Click **Delete** (trash icon — only visible while status is Draft). Confirm.

> Try opening a **Posted** entry — the Edit and Delete icons are gone; only **Reverse** remains. If you attempt to edit or delete a posted entry directly through the API, it is rejected with `only_drafts_editable` / `only_drafts_deletable`.

Verify it

- [ ] The prepayment entry shows status **Posted**, and its Edit/Delete icons are gone — only **Reverse** remains.
- [ ] Account **1400 — Prepaid Insurance** shows a balance of $1,100.00 after the January release entry ($1,200 − $100).
- [ ] The electricity accrual entry now shows status **Reversed**, and a second **Posted** entry with the same $180.00 but debit/credit swapped sits next to it.
- [ ] Account **2100 — Accrued Utilities** nets back to $0.00 once the reversal is posted (open its ledger — you should see a $180 credit followed by a $180 debit).
- [ ] Open **General Ledger → Trial Balance** — total debits still equal total credits after all of the above. If they don't, something posted incorrectly.
- [ ] The test entry from the deletion step no longer appears anywhere in the journal entries list.

Permissions used in this guide: `journal_entries:create`, `journal_entries:post`, `journal_entries:reverse`, `journal_entries:delete` (drafts only), `journal_entries:read`.